

Outlook

From	naledi.mokoena@treasury.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	cfo.office@keystonebank.co.za, payments.ops@keystonebank.co.za
Sent	Fri, 04 Jun 2021 13:24:00 -0000

Follow-up: what is driving the non-rand flow?

Morning,

I need help with something that sounds simple but probably is not.

Treasury sees non-rand activity but needs to separate stable customer behaviour from isolated transactions and data artefacts. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

The questions I would ask in the room are:

1. What would we expect to see if loan participations explain part of the flow?
2. What evidence would instead support that cross-border-enabled accounts are not the same as active cross-border users?
3. How do we rule out that a small group of customers drives most foreign-currency activity?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether to improve forecasting assumptions or investigate specific flow concentrations. A useful output would be a model-ready table, data dictionary and an honest baseline.

Use monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; loan participation and servicing records available by the request date. One caution: This data does not contain market positions, hedges or intraday liquidity; report customer-flow concentration only.

Regards